

**CITY OF SALEM, KENTUCKY ORDINANCE NO.
2026-05**

**AN ORDINANCE ESTABLISHING THE IMPOSITION AND ADMINISTRATION OF A PAYMENT OF
AN OCCUPATIONAL BUSINESS LICENSE TAX BY PERSONS
CONDUCTING OCCUPATIONS AND PROFESSIONS
WITHIN THE CITY OF SALEM, KENTUCKY.**

WHEREAS the City of Salem desires to comply with the requirements of KRS 67.750 to 67.790 and deems it necessary and desirable that the city impose an occupational business license tax on persons conducting occupations, and professions within the City of Salem, so that the assessment and payment of occupation business license taxes can be administrated more efficiently.

Now, therefore, be it ordained by the City Commission of the City of Salem, Kentucky, as follows:

SECTION ONE - DEFINITIONS

1. "Business entity" means each separate corporation, limited liability company, business development corporation, partnership, limited partnership, registered limited liability partnership, sole proprietorship, association, joint stock company, receivership, trust, professional service organization, or other legal entity through which business is conducted.
2. "Business" means any enterprise, activity, trade, occupation, profession or undertaking of any nature conducted for gain or profit. "Business" shall not include the usual activities of the board of trade, chambers of commerce, trade associations, or unions, or other associations performing services usually performed by trade associations or unions. "Business" shall not include funds, foundations, corporations, or associations organized and operated for the exclusive and sole purpose of religious, charitable, scientific, literary, educational, civic, or fraternal purposes, where no part of the earnings, incomes or receipts of such unit, group, or association, inures to the benefit of any private shareholder or other person.
3. "City" means the City of Salem, Kentucky.
4. "Compensation" means wages, salaries, commissions, or any other form of remuneration paid or payable by an employer for services performed by an employee or independent contractor, which are required to be reported for federal income tax purposes and adjusted as follows:
 - a. Include any amounts contributed by an employee to any retirement, profit sharing, or deferred compensation plan, which are deferred for federal income tax purposes under a salary reduction agreement or similar arrangement, including but not limited to salary reduction arrangements under Section 401(a), 401(k), 402(e), 403(b), 408, 414(h), or 457 of the Internal Revenue Code: and

- b. Include any amounts contributed by an employee to any welfare benefit, fringe benefit, or other benefit plan made by salary reduction or to their payment method which permits employees to elect to reduce federal taxable compensation under the Internal Revenue Code, including but not limited to Sections 125 and 132 of the Internal Revenue Code.
5. "Conclusion of the federal audit" means the date that the adjustments made by the Internal Revenue Service to gross income as reported on the business entity's federal income tax return become final and unappealable.
6. "Final determination of the federal audit" means the revenue agent's report or other documents reflecting the final and unappealable adjustments made by the Internal Revenue Service.
7. "Financial Director" The Financial Officer for the City of Salem, Kentucky and may also be referred to as "Tax Officer".
8. "Fiscal year" means an accounting period of 12 months ending on the last day of any month other than December.
9. "Employee" means any person who renders services to another person or any business entity for compensation, including an officer of a corporation and any officer, employee, or elected official of the United States, a state, or any political subdivision of a state, or any agency of instrumentality of anyone (1) or more of the above. A person classified as an independent contractor under the Internal Revenue Code shall be considered an employee.
10. "Employer" means the person for whom an individual performs or performed any service, of whatever nature, as the employee of such person, except that:
- a. if the person for whom the individual performs or performed the service does not have control of the payment of the wages for such services, the term "employer" means the person having control of the payment of such wages, and
- b. in the case of a person paying wages on behalf of a nonresident alien individual, foreign partnership, or foreign corporation, not engaged in trade or business within the United States, the term "employer" means such person.
11. "Event" means a publicized, organized occasion, such as a celebration, festival, benefit, contest, or game. An event is a distinct happening, customarily of short duration, dedicated to a specific purpose. As defined herein, an event is limited to one (1) occasion per year of no more than fourteen (14) consecutive days.

12. "Gross receipts" means all revenues or proceeds derived from the sale, lease, or rental of goods or services, or property by a business entity reduced by the following:
- a. Sales and excise taxes paid and
 - b. Returns and allowances.
13. "Internal Revenue Code" means the Internal Revenue Code in effect on December 31, 2006, exclusive of any amendments made subsequent to that date, other than amendments that extend provisions in effect on December 31, 2004, that would otherwise terminate.
14. "License Fee" means license tax, and the two (2) terms shall be interchangeable as used in this ordinance.
15. "Licensee" means any person required to file a return or to pay a license fee under this Ordinance.
16. "Local business" means any business that either:
- a. owns their business site in the city or
 - b. Has a valid lease for their business site from the property owner or manager that is for a period over six (6) uninterrupted months or
 - c. Involves regular or routine visits to an established customer base within the city. The business site as used above must be a permanent building which is properly zoned for business use.
17. "NET PROFIT." Gross income as defined in Section 61 of the Internal Revenue Code minus all the deductions from gross income allowed by Chapter 1 of the Internal Revenue Code, and adjusted as follows:
- (1) Include any amount claimed as a deduction for state tax or local tax which is computed, in whole or in part, by reference to gross or net income and which is paid or accrued to any state of the United States, local taxing authority in a state, the District of Columbia, the Commonwealth of Puerto Rico, any territory or possession of the United States, or any foreign country or political subdivision thereof;
 - (2) Include any amount claimed as a deduction that directly or indirectly is allocable to income which is either exempt from taxation or otherwise not taxed;
 - (3) Include any amount claimed as a net operating loss carryback or carryforward allowed under Section 172 of the Internal Revenue Code;
 - (4) Include any amount of income and expenses passed through separately as required by the Internal Revenue Code to an owner of a business entity that is a pass-through entity for federal tax purposes; and
 - (5) Exclude any amount of income that is exempt from state taxation by the Kentucky Constitution, or the Constitution and statutory laws of the United States.
18. "Open to the Public" means any retail, wholesale, or service business which maintains an office or storefront with the city.

19. "Person" shall mean every natural person, whether a resident or non- resident of the City. Whenever the word "person" is used in a clause prescribing and imposing a penalty in the nature of a fine or imprisonment, the word, as applied to a partnership or other form of unincorporated enterprise, shall mean the partners or members thereof, and as applied to corporations, shall mean the officers and directors thereof.
20. "Return" or "Report" means any properly completed and, if required, signed form, statement, certification, declaration, or any other document permitted or required to be submitted or filed with the city.
21. "Sales Revenue" means receipts from the sale, lease, or rental of goods, services, or property.
22. "Tax district" means any City of the Home Rule class with the authority to levy gross receipts, or occupational license taxes.
23. "Taxable gross receipts" in the case of a business entity having payroll or sales revenues both within and without the City means gross receipts as defined in subsection ten (10) of this section and are apportioned under section four (4) of this ordinance.
24. "Taxable gross receipts" in the case of a business entity having payroll or sales revenues only within the City means gross receipts as defined in subsection ten (10) of this section.
25. "Taxable year" means the calendar year or fiscal year ending during the calendar year, upon the basis of which gross receipts are computed.
26. "Temporarily" means not of a permanent nature or stay and not involving regular routine visits to an established customer base within the city.
27. "Transient business" means any person who passes through the city temporarily for the purpose of conducting a business which involves the buying, selling, or exchanging of goods or services. The activity of a transient business must not involve regular or routine visits to an established customer base within the city.

SECTION TWO- OCCUPATIONAL LICENSE APPLICATION IS NOT REQUIRED

- A. An Occupational License is not required to do business in the city limits of Salem.

SECTION THREE - OCCUPATIONAL LICENSE TAX PAYMENT REQUIRED

A. Except as provided in subsection (8) of this section, every person engaged that is required to make a filing with the Internal Revenue Service or the Kentucky Revenue Cabinet shall be required to file and pay to the City an occupational license tax for the privilege of engaging in such activities within the City.

1. The occupational license tax shall be 1.00% of all wages and compensation paid or payable in the City for work done or services performed or rendered in the City by every resident and nonresident who is an employee.

B. The occupational license tax imposed in this section shall not apply to the following persons or business entities:

1. Any compensation received by a member of the Kentucky National Guard for active-duty training, unit training assemblies and annual field training;

2. Any compensation received by precinct workers for election training or work at election booths in state, county, and local primary, regular, or special elections.

3. Any domestic servants employed in private homes. For purposes of this section a "domestic servant" shall be defined as an individual employed in a private home to drive his employer as a chauffeur or employed on the grounds or in the home of his employer to cook, clean, wash, garden or transport or otherwise care for the person, home, grounds and/or vehicles of the employer. License fees are required for individuals who are employed by a cleaning service, personal nursing service, chauffeuring service or other service entity which offer the service of its employees to the public.

4. Persons who conduct yard, garage, patio, or similar sales events lasting three (3) or fewer days and are not repeated within a thirty (30) daytime frame.

C. The following business activities are specifically subject to this ordinance:

1. An independent contractor engaged in business. An independent contractor is a person who while performing services for another, is not under the direction and control of such person as to the results to be accomplished.

SECTION FOUR - APPORTIONMENT

A. When compensation is paid or payable for work done or services performed or rendered by an employee, both within and without the City, the license tax shall be measured by that part of the compensation paid or payable as a result of work done or service performed or rendered within the City. The license tax shall be computed by obtaining the percentage which the compensation for work performed or services rendered within the City bears to the total wages and compensation paid or payable. For the City to verify the accuracy of a taxpayer's reported percentages under this subsection, the taxpayer shall maintain adequate records.

SECTION FIVE · EMPLOYERS TO WITHHOLD

A. Every employer making payment of compensation to an employee shall deduct and withhold from the compensation an occupational license tax calculated under Section (3) of this ordinance.

B. Each employer shall deduct from the compensation due any employee the amount of the license tax measured by the compensation due each employee under this section beginning on January 1 of each year:

1. The payments to be made on account of such deductions shall be made to the City Financial Director, on a form acceptable to the City, on or before the last day of every month following the first full month of employment.

2. Employers whose monthly payments are less than One Hundred Dollars (\$100.00) may file returns quarterly for the periods ending March 31st, June 30th, September 30th and December 31st with returns due thirty days after the end of each quarter.

3. Employers on quarterly filing whose quarterly payment is more than Three Hundred Dollars (\$300.00) will revert to monthly payments beginning with the next monthly payment due and will remain on monthly filings for all subsequent periods or until written justification is furnished to the City Financial Director to obtain approval to return to quarterly filing.

C. Every employer who fails to withhold or pay to the City any sums required by this ordinance to be withheld and paid shall be personally and individually liable to the City for any sum or sums withheld or required to be withheld in accordance with the provisions of this section.

D. The City shall have a lien upon all the property of any employer who fails to withhold or pay over to the City sums required to be withheld under this section. If the employer withholds but fails to pay the amounts withheld to the City, the lien shall commence as of the date the amounts withheld were required to be paid to the City. If the employer fails to withhold, the lien shall commence at the time the liability of the employer is assessed by the City.

E. Every employer required to deduct and withhold tax under this section shall annually on or before February 28 of each year complete and file, on a form furnished by the City, a reconciliation of the occupational license tax withheld where compensation is paid or payable to employees. Either copies of federal forms W-2 and W-3, transmittal of wage and tax statements, or a detailed employee listing with the required equivalent information, as determined by the City, shall be submitted.

F. Every employer shall furnish each employee a statement on or before January 31 of each year showing the amount of compensation and occupational license tax deducted by the employer from the compensation paid to the employee for payment to the City during the preceding calendar year.

G. An employer shall be liable for the payment of the tax required to be deducted and withheld under this section.

H. The president, vice president, secretary, treasurer or any other person holding an equivalent corporate office of any business entity subject to this section shall be personally and individually liable, both jointly and severally, for any tax required to be withheld from compensation paid or payable to one or more employees of the business entity, and neither the corporate dissolution or withdrawal of the business entity from the City, nor the cessation of holding any corporate office, shall discharge that liability; provided that the personal and individual liability shall apply to each and every person holding the corporate office at the time the tax becomes or became obligated. No person shall be personally and individually liable under this subsection unless such person had authority to collect, truthfully account for, or pay the tax imposed by this ordinance at the time that the taxes imposed by this ordinance become or became due.

I. Notwithstanding subsections (A) and (B) of this section, every employee, including independent contractors, receiving compensation in the City subject to the tax imposed under Section (3) of this ordinance shall be personally liable for any amount due. In all cases where the employer does not withhold the tax levied under this ordinance from the employee, such employee or employees shall be responsible for filing with the City each quarter in the same manner as if they were the employer.

SECTION SIX - EXTENSIONS

A. The City may grant any business entity an extension of not more than six (6) months, unless a longer extension has been granted by the Internal Revenue Service or is agreed to by the City and the business entity, for filing its return, if the business entity, on or before the date prescribed for payment of the occupational license tax, requests the extension, and pays the amount properly estimated as its tax.

B. If the time for filing a return is extended, the business shall pay, as part of the tax, an amount equal to twelve percent (12%) per annum simple interest on the tax shown due on the return, but not been previously paid, from the time the tax was due until the return is filed and the tax paid to the City. A fraction of a month is counted as an entire month.

SECTION SEVEN - REFUNDS

A. Where there has been an overpayment of tax under Section (5) of this ordinance, a refund shall be made to the employer to the extent of overpayment only if a written application for refund is received by the City from the employer within two (2) years from the date the overpayment was made.

B. An employee who has compensation attributable to activities performed outside the City, based on time spent outside the City, whose employer has withheld and remitted to this City, the occupational license tax on the compensation attributable to activities performed outside the City, may file for a refund within two (2) years of the date prescribed by law for the filing of a return. The employee shall provide a schedule and computation sufficient to verify the refund claim and the City may confirm with the employer the percentage of time spent outside the City and the amount of compensation attributable to activities performed outside the City prior to approval of the refund.

SECTION EIGHT - FEDERAL AUDIT PROVISIONS

A. As soon as practicable after each return is received, the city may examine and audit the return. If the amount of tax computed by the City is greater than the amount returned by the business entity, the additional tax shall be assessed and a notice of assessment mailed to the business entity by the City within five (5) years from the date the return was filed, except as otherwise provided in this subsection:

1. In the case of a failure to file a return or of a fraudulent return the additional tax may be assessed at any time.

2. In the case of a return where a business entity understates gross receipts, or omits an amount properly includable in gross receipts, or both, which understatement or omission, or both, is in excess of twenty-five percent (25%) of the amount of gross receipts stated in the return, the additional tax may be assessed at any time within six (6) years after the return was filed.

3. In the case of an assessment of additional tax relating directly to adjustments resulting from a final determination of a federal audit, the additional tax may be assessed before the expiration of the times provided in this subsection, or six (6) months from the date the City receives the final determination of the federal audit from the business entity, whichever is later.

The times provided in this subsection may be extended by agreement between the business entity and the City. For the purposes of this subsection, a return filed before the last day prescribed by law for filing the return shall be considered as filed on the last day. Any extension granted for filing the return shall also be considered as extending the last day prescribed by law for filing the return.

B. Every business entity shall submit a copy of the final determination of the federal audit within thirty (30) days of the conclusion of the federal audit.

C. The City may initiate a civil action for the collection of any additional tax within the times prescribed in subsection (1) of this section.

SECTION NINE -ADMINISTRATIVE PROVISIONS

A. No suit shall be maintained in any court to restrain or delay the collection or payment of the tax levied by this ordinance.

B. Any tax collected pursuant to the provisions of this ordinance may be refunded within two (2) years of the date prescribed by law for filing of a return or the date the money was paid to the City, whichever is the later, except that:

1. In any case where the assessment period contained in Section (8) of this ordinance has been extended by an agreement between the business entity and the City, the limitation contained in this subsection shall be extended accordingly.

2. If the claim for refund relates directly to adjustments resulting from a federal audit, the business entity shall file a claim for refund within the time provided for in this subsection or six (6) months from the conclusion of the federal audit, whichever is later.

C For the purposes of this subsection and subsection (1) of this section, a return filed before the last day prescribed by law for filing the return shall be considered as filed on the last day.

D. The authority to refund overpayments of taxes collected pursuant to this ordinance is vested exclusively in the City.

SECTION TEN- INFORMATION TO REMAIN CONFIDENTIAL

A. No present or former employee of the City of Salem shall intentionally and without authorization inspect or divulge any information acquired by him or her of the affairs of any person, or information regarding the tax schedules, returns, or reports required to be filed with the tax district or other proper officer, or any information produced by a hearing or investigation, insofar as the information may have to do with the affairs of the person's business. This prohibition does not extend to information required in prosecutions for making false reports or returns for taxation, or any other infraction of the tax laws, or in any way made a matter of public record, nor does it preclude furnishing any taxpayer or the taxpayer's properly authorized agent with information respecting his or her own return. Further, this prohibition does not preclude any employee of the tax district from testifying in any court, or from introducing as evidence returns or reports filed with the tax district, in an action for violation of a tax district tax laws or in any action challenging a tax district tax laws.

B. The City reserves the right to disclose to the Commissioner of Revenue of the Commonwealth of Kentucky or his or her duly authorized agent all such information and rights to inspect any of the books and records of the City the reciprocal right to obtain information from the files and records of the Kentucky Revenue Cabinet and maintains the privileged character of the information so furnished. Provided, further, that the City may publish statistics based on such information in such a manner as not to reveal data respecting gross receipts or compensation of any person or business entity.

C. In addition, the City is empowered to execute similar reciprocal agreements as described in subsection (2) of this section with any other taxing entity, should there be a need for exchange of information in order to effect diligent enforcement of this ordinance.

SECTION ELEVEN - PENALTIES

A. Every employer who fails to file a return or pay the tax on or before the time prescribed under Section (5) of this ordinance may be subject to a penalty of an amount equal to five percent (5%) of the tax due for each calendar month or fraction thereof. The total penalty levied pursuant to this subsection shall not exceed twenty-five percent (25%) of the total tax due; however, the penalty shall not be less than twenty-five dollars (\$25). In addition to penalties prescribed in this section, any business entity or employer shall pay, as part of the tax, an amount equal to twelve percent (12%) per annum simple interest on the tax shown due, but not previously paid, from the time the tax was due until the tax is paid to the City. A fraction of a month is counted as an entire month.

B. Every tax imposed by this ordinance, and all increases, interest, and penalties thereon, shall become, from the time the tax is due and payable, a personal debt of the taxpayer to the City.

C. The City may enforce the collection of the occupational tax due under section (3) of this ordinance and any fees, penalties, and interest as provided in subsections (A), (8), (C), and (D) of this section by civil action in a court of appropriate jurisdiction. To the extent authorized by law, the City shall be entitled to recover all court costs and reasonable attorney fees incurred by it in enforcing any provision of this ordinance.

D. In addition to the penalties prescribed in this section, any business entity or employer who willfully fails to make a return or willfully makes a false return, or who willfully fails to pay taxes owing or collected, with the intent to evade payment of the tax or amount collected, or any part thereof, shall be guilty of a Class A misdemeanor.

E. Any person who willfully aids or assists in, or procures, counsels, or advises the preparation or presentation under, or in connection with, any matter arising under this ordinance of a return, affidavit, claim, or other document, which is fraudulent or is false as to any material matter, whether or not falsity or fraud is with the knowledge or consent of the person authorized or required to present the return, affidavit, claim, or document, shall be guilty of a Class A misdemeanor.

F. A return for the purpose of this section shall mean and include any return, declaration, or form prescribed by the City and required to be filed with the City by the provisions of this ordinance or by the rules of the City or by written request for information to the business entity by the City.

G. Any person violating the provisions of section ten (10) of this ordinance by intentionally inspecting confidential taxpayer information without authorization shall be fined not more than five hundred dollars (\$500) nor imprisoned for not longer than six (6) months, or both.

H. Any person violating the provisions of section ten (10) of this ordinance by divulging confidential taxpayer information shall be fined not more than one thousand dollars (\$1000) nor imprisoned for not more than one (1) year, or both.

I. Any violation of this ordinance with a penalty not specified in Sections 11(A)-(H) above shall be a civil offense and shall be enforced by the Salem Mayor and submitted to the County Attorney. A citation for a violation shall only be issued 7 days after receiving a notice of violation. Each day of continued violation after receiving a citation shall be a separate offense. Nothing contained herein shall prevent the City from taking any other lawful action in the enforcement of this ordinance and the collection of any taxes owed. The fine shall be in accordance with the following schedule:

- (1) If a citation for a violation of an ordinance is not contested by the person charged with the violation, the penalties set forth in this subsection shall apply:

Violation	1 st offense	2 nd offense	3 rd offense
	\$50.00	\$150.00	\$250.00

- (2) If the citation is contested and a hearing before the Salem Code and Nuisance Board is required, the following maximum penalties may be imposed at the discretion of the Salem Code and Nuisance Board:

Violation	1 st offense	2 nd offense	3 rd offense
	\$100.00	\$300.00	\$500.00

SECTION TWELVE - USE OF OCCUPATIONAL LICENSE TAX

All money derived from the license taxes under the provisions of this ordinance shall be paid to the City and placed to the credit of the City's general revenue fund which use may be further assigned by the City.

SECTION THIRTEEN - SEVERABILITY

It is the legislative body's intent that the provisions of this ordinance are to be severable, and that if a part of this ordinance is to be invalid, the findings do not necessarily invalidate the entire ordinance.

SECTION FOURTEEN - EFFECTIVE DATE

This ordinance and the new tax rate contained within, shall take effect on October 1, 2026, and apply to tax year 2026 and forward, and after the passage and publication according to law.

CITY COMMISSIONERS

YES

NO

Craig Dossett

Brandon Deboe

✓

Tiffany Newcomb

✓

Darrel Chittenden

✓

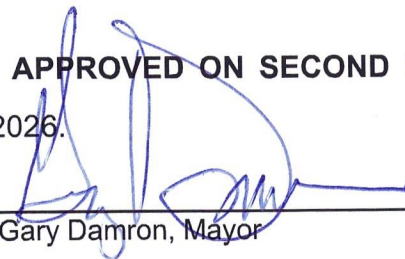
Gary Damron

✓

It appearing that 4 City Commissioners voted for the adoption of the ordinance, and 0 voted against with 0 abstaining, the Mayor declared the ordinance adopted.

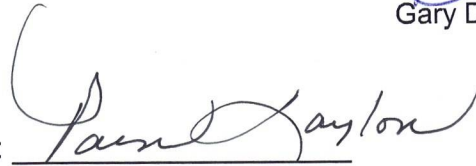
INTRODUCED AND PUBLICLY READ ON FIRST READING, this the 16th day of June, 2026.

PUBLICLY READ AND FINALLY APPROVED ON SECOND READING, this the 30th day of June, 2026.



Gary Damron, Mayor

Attested by:



Paige Taylor, City Clerk

**SPECIAL CALLED MEETING
SALEM CITY HALL
Tuesday; June 30, 2026
8AM**

AGENDA:

2nd Reading of Ordinance 2026-05 Implementing an Occupational Fee

Establishing a checking account for the Occupational Fee

The meeting was called to order by Mayor Damron. Those in attendance were Brandon Deboe Tiffany Newcomb, Darryl Chittenden, Attorney Bart Frazer and Chris Evans with The Crittenden Press.

Pledge to the Flag

Gary Damron

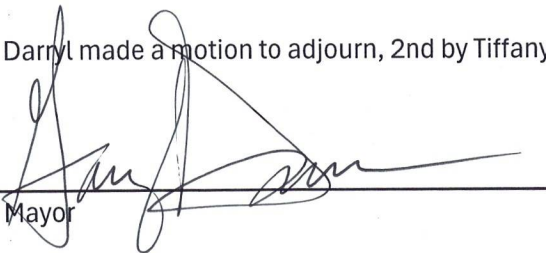
Prayer

Brandon Deboe

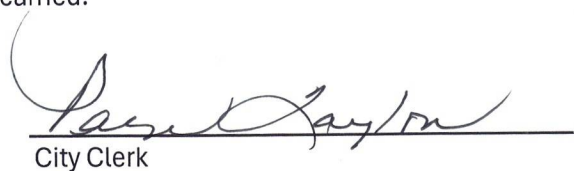
Brandon made a motion; 2nd by Tiffany to accept the 2nd reading of Ordinance 26-05 implementing an occupational business license tax by persons conducting occupations and professions within the City of Salem Kentucky. Motion carried with all Commissioners except Craig Dossett (who was absent) accepting.

Brandon made a motion; 2nd by Tiffany to open a checking account at Farmers Bank for the sole purpose of the Occupational Tax monies. Motion carried.

Darryl made a motion to adjourn, 2nd by Tiffany. Motion carried.



Mayor



City Clerk